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SABLE HARBOR ADVISORY — CARRY PLAN STANDARD

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State: LOCKED DIRECTION; legal/tax implementation remains subject to counsel

Owner: President, Sable Harbor Advisory with Finance, Legal and People & Culture

Related: SH-ADV-003; J2 service doctrine; enterprise compensation governance

1. Purpose

Advisory carry is a long-duration economic participation mechanism reserved to qualifying former J2 professionals. It exists to create an exceptional post-service wealth path without converting J2 service into corporate line authority, without making Advisory a feeder destination, and without pretending ordinary annual bonus is the same thing as durable participation in value creation.

Carry is economics, not governance.

2. Instrument design

The default instrument is a **contractual phantom carry plan** tied to the economic performance of Sable Harbor Advisory. It does not itself issue voting equity, board rights, management authority, information rights beyond those required to administer the plan, or ownership of Sable Harbor intellectual property.

If Advisory is later placed in a separate legal entity, the plan may be converted, exchanged, or replaced with an economically equivalent instrument subject to approved legal and tax treatment.

3. Carry pool

The Advisory Carry Pool equals **20% of Excess Advisory Economic Profit** after the annual hurdle and required reserves.

3.1 Economic profit

For carry purposes:

Advisory Economic Profit = recognized Advisory operating profit + approved Atlas-related Advisory contribution - direct matter losses - approved shared-service allocations - risk/claims charges - required investment reserves

The calculation excludes accounting maneuvers whose principal purpose is to increase or suppress carry. Finance owns the calculation methodology and consistency.

3.2 Hurdle

Carry participates only after Advisory has earned:

1. a full return of current-period operating losses carried forward;
2. required professional-liability, warranty, transfer-support and working-capital reserves; and
3. an annual hurdle equal to the greater of:
 - **10% of allocated Advisory operating capital**, or
 - the enterprise-approved cost-of-capital charge for Advisory.

There is no carry on gross revenue, backlog, bookings, or uncollected outcome fees.

4. Units

The carry pool is represented by **10,000 notional Carry Units**.

Units are an allocation mechanism only. They are not shares.

The annual distributable carry attributable to a participant is:

$\text{Distributable Carry} \times \text{participant vested units} / \text{total vested participating units}$

Unallocated units remain in the pool and do not accrue to any person.

5. Eligibility

Eligibility is restricted to former J2 professionals who complete an approved service gate.

Orientation

Full commissioned Orientation tour plus one qualifying fellowship.

Judgment

At least five years in a Judgment Officer position plus at least two years of substantive service in an actual Sable Harbor operating business line. JAG does not substitute for the operating-line requirement.

Contact

At least four years in substantive Contact leadership with genuine responsibility for people and collection outcomes.

Education

At least five years in J2 Education, including at least two years with substantive ownership of curriculum, professional formation, doctrine, fellowship, or evaluation programs used across J2. Pure administrative assignment does not qualify.

J2 Headquarters

J2 Headquarters service does not independently create carry eligibility. A former J2 HQ professional qualifies only through a substantive underlying Contact, Judgment, Orientation, or Education gate. This avoids creating a route in which administrative proximity to J2 substitutes for professional intelligence service.

6. No pre-service promise

No serving J2 person may receive, negotiate, reserve, model, preview, pre-clear, or be informally promised a carry grant.

No Advisory leader may tell a serving J2 person what grant they are likely to receive after service. Neutral public plan information may exist, but no individualized discussion may begin until J2 service is complete and the former professional initiates contact.

7. Grant sizing

Carry eligibility permits consideration; it does not determine grant size.

Indicative grant ranges at appointment:

Advisory professional level	Typical initial range
Distinguished Principal	300–900 units
Senior Principal	175–500 units
Principal	75–250 units
Senior Professional	25–100 units
Other exceptional eligible professional	10–75 units

Ranges are guidelines, not entitlements. Grant sizing considers professional contribution, expected duration, scarcity, matter responsibility, method development, client impact, and institutional stewardship.

No grant may be sized based on privileged J2 information, access, relationships, or willingness to commercialize protected J2 knowledge.

8. Vesting

Default vesting is **five years, 20% per completed year**, with no cliff.

Vesting is service-based and may be suspended during unpaid leave where legally permissible. The annual Carry Allocation Review may grant limited service credit for approved enterprise assignments, disability, military leave, or other protected circumstances.

Accelerated vesting is not used as an ordinary retention device.

9. Distributions

Carry distributions occur annually after:

- audited or Finance-certified Advisory results are available;
- required reserves are established;
- material client outcome disputes are accrued;
- claims and clawback exposures are assessed;
- the carry calculation is approved by the Carry Allocation Review.

A portion may be held in a **two-year rolling holdback reserve** to absorb later outcome reversals, collection failures, claims, fee restatements, or misconduct findings.

10. Good leaver

A good leaver generally includes retirement, disability, death, enterprise-directed transfer, mutually agreed departure, redundancy, or voluntary departure in good standing after at least three years of Advisory service.

Treatment:

- vested units remain economically participating for three additional annual distribution cycles, then expire unless the plan grants retirement status;
- unvested units are forfeited;
- retirement-status Distinguished/Senior Principals may retain vested units for up to five annual cycles where approved;
- death or permanent disability may receive pro-rata vesting through the date of separation.

11. Bad leaver

Bad-leaver events include fraud, intentional confidentiality breach, falsification of evidence, bribery, knowing manipulation of outcome economics, serious harassment or retaliation, deliberate J2-boundary violation, theft of client/Sable Harbor IP, or other material misconduct.

Treatment may include:

- forfeiture of all unvested units;
- cancellation of future participation of vested units;
- clawback of distributions attributable to the misconduct period;
- additional remedies available under law or contract.

Commercial underperformance by itself is not misconduct.

12. Clawback and malus

Carry may be reduced or recovered where a later event shows that a distribution depended materially on:

- misstated Advisory profit;
- manipulated baseline or attribution;
- uncollectible variable fees that should not have been recognized;
- concealed client claims;
- professional misconduct;
- material breach of independence/conflicts rules;
- improper use of J2 or client-confidential information.

The normal lookback is three years, extended where law, fraud, or contractual obligations require.

13. No matter-level carry

Carry participates in durable Advisory economics, not individual matter fees. Matter-specific bonuses may exist, but a professional does not receive a fixed percentage of the outcome fee on a matter they personally control. This reduces incentive to distort baselines, scope, findings, or client acceptance.

14. Dilution and new grants

New grants dilute existing unit percentages because the pool is shared. No participant has anti-dilution rights unless separately approved in a transaction.

The plan may reserve units for future generations of qualifying professionals. Carry is intended to remain a living professional institution rather than a permanently captured founder pool.

15. Governance rights

Carry Units confer no automatic:

- vote;
- board seat;
- management role;
- veto;
- hiring authority;
- budget control;
- client ownership;
- J2 access;
- Atlas source-code rights;
- Sable Harbor equity rights.

16. Valuation and transaction treatment

If a sale, spinout, merger, recapitalization, or separate capitalization of Advisory occurs, Finance and Legal determine an economically fair conversion of vested Carry Units. The guiding principle is to preserve the value of earned participation without converting the plan into a hidden governance instrument.

17. Tax and legal implementation

The controlling legal instrument must be drafted by qualified counsel and may adjust timing, withholding, constructive-receipt treatment, deferred-compensation compliance, securities characterization, and jurisdiction-specific requirements.

Tax optimization does not override the core canon:

- carry is restricted to qualifying former J2 professionals;
- service completion occurs before individualized Advisory discussion;
- carry does not create line authority;
- J2 is not a feeder program.

18. Cultural test

The plan is functioning correctly only if a serving J2 professional can ignore it while serving, a former J2 professional can later build exceptional wealth through Advisory, and an outside or operating-line professional can still have an elite Advisory career without carry.